Higher
Coursework
Assessment Task

Higher Accounting
Assignment
Assessment task — OrthoBeds

Finalised Marking Instructions

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Marking instructions

In line with SQA's normal practice, the following marking instructions for the Higher Accounting assignment are addressed to the marker. They will also be helpful if you are preparing candidates for course assessment.

Candidates' evidence is submitted to SQA for external marking.

General marking principles

Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.

a Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.

b If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.

c Candidates gain marks for showing workings and demonstrating that they have followed accounting processes, even when they present incorrect figures.

d **Treatment of errors**

The specific marking instructions provide guidance on the treatment of errors such as extraneous items, arithmetical errors and consequential errors.

e **Layouts**

The specific marking instructions provide layouts for illustrative purposes only. Do not penalise candidates for using appropriate alternative layouts.

f **Consequential errors**

You must take into account consequential errors. Candidates must receive marks for following the correct accounting processes and using the correct spreadsheet formulae.

g **+/- rule**

You should check both statements before awarding marks for correct entry of Trial Balance items, as they can only appear once.

h **Formulae**

Candidates may use a variety of different formulae to solve problems and provide the information needed in the spreadsheet. Award marks where a formula provides the correct answer. The formula in the specific marking instructions is not the only way to achieve the correct answer.

i **Printouts**

Each task clearly provides printing requirements. Where a printout for a task is missing, award marks for the correct information on any available alternative printout.

Task 1(a)				Code	Marks	Max mark	Additional Guidance
Manufacturing Account of OrthoBeds for the year ended 31 December Year 3 ✓						18	
	£000	**£000**					
Opening Inventory of Raw Materials		60		A			
Add Purchases of Raw Materials		850		B			
Add Carriage In on Raw Materials		15		B	1		
		925					
Less Closing Inventory of Raw Materials		45		A	1		
Cost of Raw Materials Consumed ✓		880					
Add Direct Costs							
Direct Manufacturing Wages (300*75%)	225				1		If direct costs or factory overheads are
Royalties	15	240		C			deducted but indicated as added, treat as
Prime Cost ✓		1,120					arithmetical error
Add Factory Overheads							
Indirect wages (300*20%)	60				1		If factory overheads are subtracted, award
Factory supervisor salaries	74			C	1		marks where possible and do not award
Factory heat and light (150*80%)	120				1		Profit on Manufacture
Factory rent (30/15*12) * 50%	12				1		
Factory insurance (54+6)*3/4	45				1		If Factory Machinery (Cost) is included, do
Depreciation on factory machinery (320-200)*25%	30	341			1		not award Depreciation on Factory
		1,461					Machinery
Add Opening Inventory of Work in Progress		75		D			
		1,536					
Less Closing Inventory of Work in Progress		42		D	1		
Factory Cost of Production ✓		1,494					
Add Profit on Manufacture		506		E			If Profit on Manufacture is labelled but is
Wholesale/Market Value of Finished Goods ✓		2,000		E	1		negative still award the mark
Headings, labels, arithmetic, no extraneous					1		
Income Statement of OrthoBeds for the year ended 31 December Year 3 ✓							
	£000	**£000**	**£000**				
Sales Revenue			2,460	F			If any item repeated across both
							statements do not award in correct
Less Cost of Sales							statement
Opening Inventory of Finished Goods		135		G			
Add Wholesale/Market value of Finished Goods		2,000		F	1		
		2,135					
Purchases of Finished Goods	105			H			If Factory Cost of Production is included
Less Purchases Returns of Finished Goods	15	90		H	1		instead of Market Value, award 1 mark
		2,225					consequentially, provided it is the final
Less Closing Inventory of Finished Goods		120		G	1		figure shown in the Manufacturing Account
		2,105					
Warehouse wages (300*5%)	15				1		If Carriage Out is included, do not award
Warehouse rent (30/15*12)*25%	6	21			1		1st available mark
Cost of Sales			2,126				
Gross Profit ✓			334				
Headings, labels, arithmetic, no extraneous					1		
Task 1(b)							
Royalties refer to payments made to a business for the right **to use** their assets or intellectual property eg a patent.							1
Work-in-progress refers to goods that are only part complete (at the beginning or end of the accounting period).							1

Task 2 - Value View					Marks	Max mark
Name						1 - data
SALARIES						
Canteen Supervisor	£35,000					
Cooks	£27,000		Number of cooks	2		
WAGES - KITCHEN ASSISTANTS						
Basic pay per hour	£12		Basic hours	35	✓	
Overtime rate per hour	£24		Overtime hours	5	✓	
Number of kitchen assistants	3					
Kitchen Equipment cost	£150,000		Number of weeks canteen operational	52	✓	
Estimated life - years	10	✓	Estimated number of meals per week	2,500	✓	
Residual value	£10,000	✓	Estimated number of meals per year	130,000		
Service costs per 20,000 meals	£850	✓				
Food and beverages per week	£2,450	✓				
Cleaning, laundry and miscellaneous per quarter	£930	✓				
Consumables per meal	£0.04	✓		For all data	1	
Service Cost Statement for Staff Canteen						
Rent	£1,500					
Renovation costs	£18,750					
Depreciation	£14,000					
Salaries	£89,000					
Wages	£82,800					
Service costs	£5,525					
Administrative costs	£3,105					
Food and beverages	£127,400					
Cleaning, laundry and miscellaneous	£3,720					
Consumables	£5,200					
Total Annual Cost	£351,000					
Cost per meal	£2.70					

	A	B	C	D	E	F
1	**Task 2 - Formula View**	If cell reference available, this must be used within all formulae			Marks	**Max Mark**
2	**Name**					12 - formulae
3						
4	**SALARIES**					
5	Canteen Supervisor	35000				
6	Cooks	27000	Number of cooks	2		
7						
8	**WAGES - KITCHEN ASSISTANTS**					
9	Basic pay per hour	12	Basic hours	35		
10	Overtime rate per hour ✓	=B9*2	Overtime hours	5		
11	Number of kitchen assistants	3				
12						
13	Kitchen Equipment cost	150000	Number of weeks canteen operational	52		
14	Estimated life - years	10	Estimated number of meals per week	2500		
15	Residual value	10000	Estimated number of meals per year	=D13*D14		
16				For both B10 and D15	1	
17	Service costs per 20,000 meals	850				
18	Food and beverages per week	2450				
19	Cleaning, laundry and miscellaneous per quarter	930				
20	Consumables per meal	0.04				
21						
22	**Service Cost Statement for Staff Canteen**		**Additional Guidance**			
23	Rent	=6000*25%			1	
24	Renovation costs	=(150*500)*25%	Rent is consequential on Warehouse Rent (£6,000) from Task 1a		1	
25	Depreciation	=(B13-B15)/B14			1	
26	Salaries	=B5+(B6*D6)			1	
27	Wages	=(B11*B9*D9*D13)+(B11*B10*D10*48)	Do not award mark if 52 is referred to as a number instead of cell reference D13		1	
28	Service costs	=D15/20000*B17			1	
29	Administrative costs	=IF(B27>50000,B27*3.75%,B27*2%)	=IF(B27<=50000,B27*2%,B27*3.75%)		1	
30	Food and beverages	=B18*D13	Accept the above alternative IF statement		1	
31	Cleaning, laundry and miscellaneous	=B19*4			1	
32	Consumables	=B20*D15			1	
33	**Total Annual Cost**	=SUM(B23:B32)				
34						
35	**Cost per meal**	=B33/D15			1	

Task 3							Marks	Max mark	Additional guidance
								23	
(a) (i)		**Classic**	**Signature**	**Comfort**				2	
	Machine hours per unit	4	5	6					
	Year 3 Sales units	2,000	880	600					
	Machine hours	8,000	4,400	3,600	16,000		2		**All or nothing**
(a) (ii)		**Classic**	**Signature**	**Comfort**				6	
	Selling Price per unit (bed)	£895	£1,295	£1,895					
	Less Variable Costs:								
	Material Cost per unit	£206	£528	£740			1	row	
	Labour Cost per unit	£80	£112	£144			1	row	
	Variable Overheads	£25	£35	£45			1	row	
	Variable costs per unit	£311	£675	£929					
	Contribution per unit	£584	£620	£966			3	row	1 mark per CPU
(a) (iii)	Units sold	2,000	880	600				2	
	Contribution	£1,168,000	£545,600	£579,600	£2,293,200		1		
	Less Fixed Costs				£500,000				
	Total Profit				**£1,793,200**		1		
(b)(i)	Machine hours at full capacity	16,000/80x100			**20,000**		1	1	Consequential to 1(a)(i)
(b)(ii)		**Classic**	**Signature**	**Comfort**				4	
	Contribution per unit	£584	£620	£966					
	Machine hours	4	5	6					
	Contribution per machine hour	£146	£124	£161			3	row	1 mark per CPMH
	Order of priority	2	3	1			1		
	Demand	2,500	1,500	1,200					
(b)(iii)		Quantity	Mc Hrs per unit	Total Hours	Hours remaining			2	If Order of Priority is not shown but applied correctly in (b) (iii), then award one mark for new order of priority in (b)(ii)
	Hours available at full capacity				20,000				
	Hours allocated to Comfort	**1,200**	6	7200	12,800		✓		
	Hours allocated to Classic	**2,500**	4	10000	2,800		1		
	Signature (2,800/5)	**560**					1		
(b)(iv)		**Classic**	**Signature**	**Comfort**				2	
	Contribution	£1,460,000	£347,200	£1,159,200	£2,966,400		1		
	Less Fixed Costs				£515,000				
	Profit				**£2,451,400**		1		
(c)		**Classic**	**Signature**	**Comfort**	**Special Order**			4	
	Selling Price				£1,745				
	Variable cost per unit				£929				
	Contribution per unit	£584	£620	£966	£816		1		
	Machine hours	4	5	6	6				
	Contribution per machine hour	£146	£124	£161	£136		1		
									If candidate indicates hours reduced for lowest contribution per machine hour product (Signature) from (b) (ii), award mark
	Order of priority	2	4	1	3				
	OrthoBeds should accept the special order **(1)**						1		Only award marks if calculation considers the limited hours and order of priority based on Contribution per Machine Hour
	The contribution per machine hour is greater than Signature **(1)**						1		
	The profit increases by accepting the special order **(1)**								
	Alternative method 1								
	Profit from Special Order:								
	Contribution based on units	350 units x £816 **(1)** Contribution per unit				£285,600			
	OR								
	Contribution based on machine hours	2,100 hours (350 units x 6 hours) x £136 Contribution per machine hour							
	Less Delivery Costs					£5,000			
						£280,600			
	Less loss of Contribution due to reduced units of Signature:								
	Contribution based on units	(2,100 hours/5 machine hours) 420 units x £620 Contribution per unit				£260,400	1		
	OR								
	Contribution based on machine hours	2,100 hours x £124 Contribution per machine hour							
	Increase in Profit					£20,200			
	Alternative method 2								
		Classic	**Signature**	**Comfort**	**Special Order**	**Total**			
	Selling Price				£1,745				
	Variable cost per unit				£929				
	Contribution per unit	£584	£620	£966	£816		1		
	Machine hours	4	5	6	6				
	Contribution per machine hour	£146	£124	£161	£136		1		
	Order of priority	2	4	1	3				
	Machine hours allocated	10,000	700	7,200	2,100	20,000			Candidates may calculate change in profit, however, this is not required in order to make a recommendation in this scenario
	Units Produced	2,500	140	1,200	350				
	Total Contribution	£1,460,000	£86,800	£1,159,200	£285,600	£2,991,600			Ranking according to Contribution per Machine Hour is the crucial factor when making a suitable
	Less Fixed Costs					520,000			
	Profit					£2,471,600			
	Increase in Profit					£20,200			

Task 3(d) **Max Mark**

The benefits of decision making to a manufacturing business such as Orthobeds: **4**

It helps to decide whether to accept or reject a special order. (1)

It helps to establish the quantity of each product to be produced to maximise profits (1), taking account of a limiting factor. (1)

It assists in establishing an order of priority when producing a range of products. (1)

It assists when deciding to make or buy a component. (1)

It assists when deciding on whether to retain or close a factory or branch. (1)

DO NOT ACCEPT generic responses eg it allows the business to plan ahead.

DO NOT ACCEPT it highlights the products making the highest profit.

[END OF MARKING INSTRUCTIONS]